

Clean Max: Riding the Data Center and C&I Demand

Executive Summary

We met the management of Clean Max at a Group Meeting yesterday. Management reiterated confidence in sustaining strong growth, supported by rising renewable adoption among commercial and industrial customers, increasing demand from hyperscalers and data centers, and favourable regulatory tailwinds. The company's contracted portfolio has expanded to 5.7 GW, with 42% of capacity linked to Data & AI customers. Clean Max continues to differentiate itself from conventional utility-scale renewable developers through its customer-centric C&I model, which delivers superior tariff realizations, faster receivable cycle. However, investors should monitor execution timelines, rising leverage levels, CTU-linked project exposure.

About the Company

- CleanMax Enviro Energy Solutions Limited** is India's largest pure-play commercial and industrial (C&I) renewable energy company, with over 15 years of experience in providing private-to-private decarbonization solutions. Unlike conventional renewable utilities that primarily sell power to distribution companies, CleanMax operates a customer-centric renewable infrastructure platform focused on corporate power procurement. Its long-term growth is driven by increasing renewable adoption among C&I customers, rising data centre power demand and expanding corporate decarbonization initiatives.
- CleanMax's contracted portfolio has expanded to 5.7 GW, comprising 3.1 GW operational capacity and 2.6 GW under execution, representing nearly 3x growth in contracted capacity over the last two years. The company commissioned 1,471 MWp during FY26, reflecting a threefold increase in annual commissioning activity. Data centers and AI-related customers account for 42% of the contracted portfolio, underscoring the growing importance of digital infrastructure demand, while the balance is diversified across traditional C&I customers.

Rationale:

- Differentiated C&I-Focused Business Model with Superior Economics:** Unlike conventional utility-scale IPPs that sell power to state DISCOMs through tariff-based bidding, CleanMax directly contracts with corporate customers through long-term PPAs. The company derives nearly 87% of its operating profit from STU-linked projects, significantly reducing exposure to transmission bottlenecks, curtailment risk, renewable intermittency issues and state DISCOM payment delays. This model enables higher tariff realizations of approximately INR 3.85/unit versus INR 2.4–2.6/unit for newly signed utility-scale PPAs, supporting superior margins and return ratios.
- Industry-Leading Returns and Capital Efficiency:** CleanMax benefits from an asset-light growth model supported by group captive structures, where customers hold a 26% equity stake in projects, improving customer stickiness while reducing capital requirements. The company generates a cash ROE of 16.1% with an equity payback period of just 2.5 years, substantially lower than the 4–6 years typically observed across utility-scale renewable developers. Additionally, its high-quality corporate customer base enables efficient working capital management, with receivable days of only 25 days.
- Preferred Renewable Partner for Data Centers and Hyperscalers:** CleanMax has established itself as the leading renewable energy partner for hyperscalers in India, commanding an estimated 35–38% market share within this segment. Approximately 42% of its contracted portfolio is linked to data centers and AI infrastructure customers, positioning the company to benefit from India's rapidly expanding digital infrastructure ecosystem. Long-standing relationships with global technology companies and a high repeat-customer ratio provide a significant competitive moat in a rapidly growing market.
- Large Untapped C&I Renewable Opportunity with Strong Customer Retention:** Commercial and industrial customers account for nearly 50% of India's electricity consumption, yet renewable penetration within the segment remains low at approximately 7.4%. Management expects this figure to increase toward 20% by FY30, creating a substantial long-term growth runway.

Outlook:

We remain positive on CleanMax's growth outlook, supported by its differentiated C&I-focused business model, strong execution capabilities, rising RPO requirements, growing data centre demand, and declining renewable energy costs. The stock currently trades at ~20x EV/EBITDA, in line with its historical median and peers (7 power generation peers excl Clean Max)

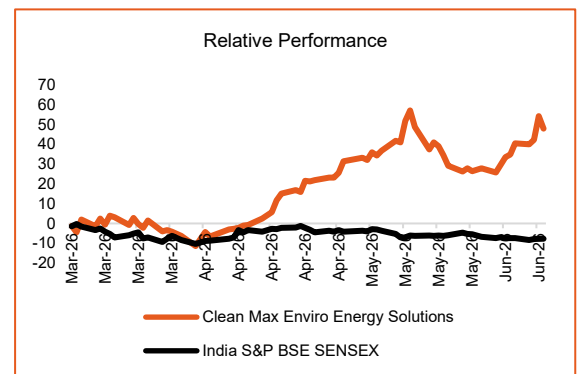
Particulars	
CMP	1,368
Market Cap (Cr)	16,023
Free Float M. Cap (Cr)	3,544
High/Low (INR)	1533 / 728
Avg Daily Vol (1Y) shares	4,95,083
No. of Shares (Cr.)	11.7

Key Financials (in Mn)

	Q4FY25	Q3FY26	Q4FY26
Revenue	4,455.06	4,224.57	5,574.63
EBIDTA	2,567.62	1,154.94	2,676.18
PBT	262.05	66.31	752.55
PAT	172.28	211.77	453.96
EPS	2.27	2.70	5.31

	FY25	FY26
Revenue	14,957.01	19,128.73
EBIDTA	9,004.31	11,322.22
PBT	597.47	1,349.81
PAT	194.29	855.77
EPS	2.88	9.10

Relative Performance



Source: Company Research, Deven Choksey Research

Management Key Meeting Updates

- **Data Center Opportunity Emerging as a Major Growth Driver:** Management highlighted that contracted capacity has expanded 3x over the last two years to 5.7 GW, led by a 10x increase in data center and AI-related demand. The company estimates that every 1 GW of data center IT load could require approximately 6 GW of renewable capacity and 3–4 GWh of storage, creating a sizeable long-term opportunity as India scales up its AI and hyperscaler infrastructure.
- **Strong Leadership Position in Hyperscaler Renewable Procurement:** CleanMax stated that it currently commands an estimated 35–38% share of renewable energy volumes contracted by hyperscalers in India and maintains multi-year relationships with leading global technology companies. Management believes these relationships create significant competitive advantages due to stringent vendor qualification processes, long contract tenures, and a preference among customers for established and reliable renewable energy partners.
- **Traditional C&I Segment Continues to Witness Robust Adoption:** Beyond data centers, the company continues to see strong demand from manufacturing, chemicals, cement, automotive, IT parks and commercial consumers. Management highlighted that renewable penetration within India's C&I power market remains relatively low despite increasing from 4% in FY19 to 7.4% in FY23, indicating substantial headroom for future growth driven by cost savings, sustainability targets and energy security considerations.
- **Attractive Project Economics Support Superior Capital Efficiency:** Management reiterated that the business benefits from long asset lives of over 30 years and average PPA tenures of approximately 23 years. Projects commissioned during FY22–FY24 achieved an average equity payback period of around 2.5 years, while project-level cash ROEs have remained in the 33–35% range. The company attributes these returns to its direct-to-consumer business model, higher tariffs relative to utility-scale projects and disciplined capital allocation.
- **Lower Transmission Bottlenecks Relative to Utility-Scale Peers:** Unlike many renewable developers dependent on central transmission infrastructure, approximately 87% of CleanMax's EBITDA is generated from state transmission utility (STU)-connected assets serving captive and open-access consumers. Management believes this significantly mitigates evacuation risks and grid curtailment issues currently affecting several utility-scale renewable projects.
- **Competitive Advantages Reinforced by Scale and Customer Stickiness:** Management emphasized that the C&I renewable market remains operationally intensive, requiring numerous customer relationships and state-level execution capabilities. The company benefits from repeat business, with nearly 75–80% of annual capacity additions originating from existing customers. Furthermore, the group captive structure, which requires customers to hold equity stakes in projects, creates meaningful switching costs and supports long-term customer retention.
- **Wind-Solar Hybrid Solutions Expected to Gain Prominence:** Management expects future data center power procurement to increasingly adopt a balanced mix of solar, wind and battery storage. Given India's renewable resource profile and high imported natural gas costs, management believes hybrid renewable solutions offer the most cost-effective pathway to deliver reliable round-the-clock power for large-scale AI and data center facilities.

Key Risk

- **Leverage and Financing Risk:** The company remains in an aggressive expansion and capacity addition phase, resulting in elevated leverage levels and financing costs. Finance expenses currently account for approximately 41% of revenue, while the debt-to-equity ratio stands at 2.73x.
- **Customer Acquisition and Scalability Risk:** The captive C&I renewable energy market remains highly relationship-driven and operationally intensive, with the average deal size limited to approximately 12 MW. To achieve its targeted annual capacity additions of around 1.5 GW, the company must consistently secure 80–85 new PPAs each year. While scale provides significant operating leverage, any slowdown in customer acquisition could adversely impact growth and profitability.
- **Customer Concentration and Saturation Risk:** Approximately 75–80% of annual capacity additions are sourced from existing customers, reflecting strong client relationships and lower acquisition costs. However, over the longer term, growth may moderate if key customers achieve their renewable energy targets or reduce incremental procurement requirements, necessitating a greater reliance on new customer acquisition.
- **Project Execution Risk:** The company's growth strategy is dependent on the timely commissioning of renewable energy projects. Delays arising from land acquisition challenges, transmission infrastructure bottlenecks, EPC execution issues, supply-chain disruptions, regulatory approvals, or other external factors may postpone project commissioning, resulting in deferred revenue recognition and increased project costs.
- **Exposure to Commitment Charges:** Under certain power purchase agreements, the company may be liable for commitment charges if projects are not commissioned within the agreed timelines. Any significant delay in project execution could therefore lead to financial penalties, adversely affecting profitability and potentially impacting customer relationships.
- **Transmission and Power Evacuation Risk:** The timely readiness of Central Transmission Utility (CTU) substations remains critical for projects connected to the interstate transmission network. Delays in CTU infrastructure commissioning may prevent the evacuation of generated power despite project completion, resulting in revenue loss, lower asset utilization and reduced project returns until transmission connectivity becomes operational.

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